

Porch Light Foundation: Revised Implementation Plan - Version 4.2

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1. Executive Summary

The Porch Light Foundation utilizes an innovative hybrid nonprofit-for-profit model addressing community health and social needs through integrated services. This plan includes detailed equipment specifications, vehicle costs, training requirements, and operational tracking systems.

Key Innovation Points:

- **Circular Impact Model:** For-profit subsidiaries generate revenue funding nonprofit activities.
- **AI-Driven Operations:** Intelligent Algorithm Management serves as a centralized hub with predictive analytics.
- **Insurance Integration:** Algoinsu provides affordable coverage through Porch Light subsidies.
- **Comprehensive Tracking:** Advanced GPS and client management systems ensure operational efficiency.

Financial Projections Summary:

- Year 1: \$200,000–\$375,000 total revenue

- Year 2: \$550,000–\$1,000,000 total revenue
- Year 3: \$1,150,000–\$1,850,000 total revenue

Total Initial Investment Required (Revised): \$272,100–\$519,000

2. Business Model Overview

Mission Statement: Porch Light addresses critical, interconnected health and social needs in Tuscaloosa, Alabama, through a deeply integrated, multi-pillar service model supporting individuals and families across the lifespan.

Core Service Pillars:

Foundational Services:

- **Porch Light Rides:** Facilitated NEMT (Non-Emergency Medical Transportation)
- **Porch Light Plates:** MTM (Medically Tailored Meals) program
- **Porch Light Homes:** Supportive housing initiative

Family & Lifespan Support:

- **Family Resource Center:** Affordable childcare and parenting support
- **Comprehensive Senior Services:** Aging in place support

Economic Empowerment:

- **Workforce Development:** Integrated employment services
 - **Financial Empowerment Center:** One-on-one financial counseling
 - **IDA (Individual Development Account):** Matched savings program
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3. Corporate Structure Strategy

Recommended Entity Structure:

- **Intelligent Algorithm Management (Hub Entity):** An LLC or Corporation serving as the centralized operations and AI-driven analytics hub, owning and controlling subsidiaries. Formation cost is \$200–\$500.
- **Porch Light Foundation (Nonprofit):** A 501(c)(3) nonprofit organization focused on mission-driven services and serving as the grant recipient. Formation cost is \$600–\$1,200.
- **For-Profit Subsidiaries (Corporations):** Include Transportation, Properties, Logistics, Foods, and Tech companies.

- **Algoinsu Insurance Brokerage:** A corporation focused on AI-driven insurance sales. Its formation cost is \$300–\$800. Algoinsu's operating expenses and launch costs will be managed independently.
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4. Equipment and Technology Needs

Core Technology Infrastructure:

- **AI-Driven Management System:** Utilizes CRM platforms like Salesforce or HubSpot. Annual cost is estimated at \$9,000–\$36,000.
 - **GPS Tracking and Fleet Management:** Systems like Verizon Connect or Samsara. Annual cost is estimated at \$3,100–\$4,500.
 - **Commercial Kitchen Setup:** Total setup costs are estimated at \$31,000–\$54,000.
 - **Office Equipment and Furniture:** Basic office setup is estimated at \$5,000–\$10,000 for furniture and \$800–\$1,500 each for computers/laptops.
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5. Vehicle Fleet Requirements and Costs (Revised Strategy)

The revised strategy for Year 1 involves scaling down the initial fleet acquisition to 3-4 vehicles to reduce startup costs.

Original Fleet Plan: The original plan required 3-5 WAVs, 5-8 Standard Medical Transport Vehicles, and 2-3 Meal Delivery Vehicles, totaling 10-16 vehicles initially.

- Original Initial Fleet Cost: \$426,000–\$985,000

Revised Year 1 Fleet (3-4 Vehicles):

- **Revised Initial Fleet Cost:** \$120,000–\$188,000
- **Vehicle Costs:** New Converted Minivans (WAVs) cost \$65,000 to \$98,000 each. Used Minivans (Standard) cost \$15,000–\$25,000 each. Cargo Vans (Meal Delivery) cost \$25,000–\$40,000 each.

Maintenance and Compliance:

- Annual Operating Costs: \$75,000–\$150,000
 - Insurance Costs: \$60,000–\$120,000 annually
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6. Training and Certification Requirements

The total initial training investment is estimated at \$18,475–\$68,535.

- **Community Health Worker (CHW) Training:** Includes a 160-hour competency-based training program.
 - **NEMT Driver Training and Certification:** Includes NEMTAC Certification.
 - **Kitchen and Food Service Training:** Includes ServSafe Certification.
 - **Administrative and Management Training:** Includes insurance license training.
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7. Operational Programs

Porch Light Rides (NEMT Service)

Focuses on facilitated transportation for Medicaid-eligible elderly and pregnant women in Tuscaloosa County. Operational requirements include Medicaid Provider Enrollment and HIPAA Compliance Training.

Porch Light Plates (MTM Program)

Provides Medically Tailored Meals with Registered Dietitian oversight. Reimbursement is through the HCBS Waiver.

Porch Light Homes (Supportive Housing)

A joint venture with a for-profit real estate partner.

Porch Light Connect (Community Health Integration Hub)

Utilizes Medicare SDOH billing codes (G0136, G0019, G0022) for reimbursement.

8. Revenue Generation Strategy

Revenue is generated through diversified streams:

- **Healthcare Reimbursement:** Includes Medicare/Medicaid billing for SDOH services and HCBS Waiver payments.
 - **For-Profit Subsidiary Dividends:** From Properties, Logistics, Foods, and Tech companies.
 - **Grant Funding and Philanthropy:** Includes Federal (HRSA, CDC), State, and Private Foundation grants.
 - **Algoinsu Insurance Integration:** Generates commission revenue (\$75,000–\$200,000 annually) and revenue from a subsidy program (\$25,000–\$75,000 annually).
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9. Implementation Timeline with Costs (Revised)

Year 1: Foundation Building (Months 1-12)

- **Phase 1: Legal Structure Formation (Months 1-3):** \$8,600–\$17,500
- **Phase 2: Infrastructure Development (Months 4-6):** \$58,000–\$100,000
- **Phase 3: Program Launch (Months 7-9):**
 - Vehicle Acquisition (Revised): \$120,000–\$188,000
 - Equipment Purchase: \$20,000–\$40,000
 - Insurance Premiums: \$30,000–\$60,000
 - Marketing and Outreach: \$5,000–\$10,000
 - Total Phase 3 (Revised): \$175,000–\$298,000
- **Phase 4: Operations Stabilization (Months 10-12):** \$100,000–\$185,000

Year 1 Total Investment (Revised): \$341,600–\$600,500

Year 2: Subsidiary Launch (Months 13-24)

- Properties Company Launch: \$50,800–\$202,300
- Logistics Company Launch: \$85,300–\$175,800
- **Note:** Algoinsu Insurance Launch costs are managed independently and are not included in the Foundation's investment timeline.

Year 2 Total Investment (Revised): \$136,100–\$378,100

Year 3: Scale and Expansion (Months 25-36)

- Geographic Expansion: \$140,000–\$280,000
- Additional Subsidiaries (Foods and Tech): \$80,000–\$175,000
- Total Year 3 Investment: \$220,000–\$455,000

Three-Year Total Investment (Revised): \$697,700–\$1,434,600

10. Risk Management and Compliance

Transportation Industry Risks: High-risk exposure areas include vehicle accidents, medical emergencies, driver misconduct, and regulatory compliance.

Risk Mitigation Strategies: The plan emphasizes a robust corporate structure, comprehensive insurance, rigorous driver training, and safety protocols.

- **Insurance Coverage:** Includes Commercial Auto Insurance (\$8,000–\$15,000 per vehicle annually), General Liability Insurance (\$15,000–\$30,000 annually), and Umbrella Coverage (\$5,000,000–

\$10,000,000).

- **Regulatory Compliance:** Includes Healthcare Regulations (HIPAA, Medicare/Medicaid), Transportation Regulations (DOT, ADA), and Insurance Regulations.
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11. Financial Projections (Revised)

Year 1 Financial Projections:

- **Total Year 1 Revenue:** \$200,000–\$375,000
 - **Operating Expenses (Revised):**
 - Salaries and Benefits: \$150,000–\$250,000
 - Vehicle Operations: \$75,000–\$125,000
 - Insurance: \$60,000–\$120,000
 - Technology and Equipment: \$25,000–\$50,000
 - **Administrative & Lease Costs:** \$45,000–\$80,000 (Includes original administrative expenses and estimated annual lease costs)
 - **Total Year 1 Expenses (Revised):** \$355,000–\$625,000
 - **Net Income (Loss) (Revised):** (\$155,000) to (\$250,000)
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12. Appendices

Appendix A: Abbreviation Glossary

- ADA: Americans with Disabilities Act
- AED: Automated External Defibrillator
- AI: Artificial Intelligence
- CDC: Centers for Disease Control
- CDL: Commercial Driver's License
- CHI: Community Health Integration
- CHW: Community Health Worker
- CRM: Customer Relationship Management
- CTS: Certified Transport Specialist
- DOT: Department of Transportation
- EBT: Electronic Benefits Transfer
- EIN: Employer Identification Number

- GPS: Global Positioning System
- HCBS: Home and Community-Based Services
- HCV: Housing Choice Voucher
- HIPAA: Health Insurance Portability and Accountability Act
- HQS: Housing Quality Standards
- HR: Human Resources
- HRSA: Health Resources and Services Administration
- HUD: Department of Housing and Urban Development
- IDA: Individual Development Account
- IRS: Internal Revenue Service
- LIHTC: Low-Income Housing Tax Credit
- LLC: Limited Liability Company
- MTM: Medically Tailored Meals
- NEMT: Non-Emergency Medical Transportation
- NEMTAC: Non-Emergency Medical Transportation Accreditation Commission
- SDOH: Social Determinants of Health
- UBIT: Unrelated Business Income Tax
- WAV: Wheelchair Accessible Vehicle

Appendix B: Equipment Vendor Contacts

- **Vehicle Dealers and Conversion Companies:** BraunAbility, MobilityWorks, Vantage Mobility
- **Technology Vendors:** Verizon Connect, Samsara, Salesforce
- **Medical Equipment Suppliers:** Stryker, Ferno, Zoll

Appendix C: Training Provider Contacts

- **CHW Training Programs:** National Association of Community Health Workers (NACHW), State Universities, and Local Community Colleges
- **NEMT Training Organizations:** NEMTAC, CTAA, XTransit Solutions

Appendix D: Regulatory Compliance Checklist

- **Federal Requirements:** IRS 501(c)(3) application filed, Federal EIN obtained, Medicare provider enrollment completed, HIPAA compliance program established, and DOT compliance for commercial vehicles

- **State Requirements (Alabama):** Alabama nonprofit registration, Business licenses obtained, Insurance producer licenses, Medicaid provider enrollment, and Vehicle registrations and inspections
- **Local Requirements:** Business permits and licenses, Zoning compliance for facilities, Health department permits for food service, Fire department inspections, and Building permits for modifications

Appendix E: Sample Budget Worksheet (Revised)

Startup Costs Summary (Revised)

Category	Low Estimate	High Estimate
Legal and Formation	\$8,600	\$17,500
Technology Systems	\$15,000	\$25,000
Office Setup	\$10,000	\$20,000
Vehicle Fleet (Revised)	\$120,000	\$188,000
Equipment	\$50,000	\$100,000
Training	\$18,500	\$68,500
Working Capital	\$50,000	\$100,000
Total Initial Investment (Revised)	\$272,100	\$519,000

Monthly Operating Costs (Revised)

Category	Low Estimate	High Estimate
Salaries and Benefits	\$20,000	\$35,000
Vehicle Operations	\$8,000	\$15,000
Insurance	\$7,500	\$15,000
Technology	\$2,500	\$5,000
Administrative (Revised)	\$4,500	\$8,166
Total Monthly (Revised)	\$42,500	\$78,166

Appendix F: Key Performance Indicators (KPIs)

Operational KPIs:

- Client Satisfaction Score: Target 90%+
- On-Time Performance: Target 95%+
- Vehicle Utilization Rate: Target 75%+
- Driver Retention Rate: Target 85%+

- Safety Incidents: Target <1 per 10,000 miles

Financial KPIs:

- Revenue Growth Rate: Target 25%+ annually
- Operating Margin: Target 15%+ by Year 3
- Cost per Client Served: Target decrease 10% annually
- Revenue per Vehicle: Target \$50,000+ annually
- Accounts Receivable Days: Target <45 days

Impact KPIs:

- Number of Clients Served: Target 500+ in Year 1
- Health Outcomes Improved: Target 80% of clients
- Housing Placements: Target 50+ annually
- Meals Delivered: Target 10,000+ annually
- Community Partnerships: Target 25+ organizations

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Last Updated: July 2025

Next Review: October 2025

This comprehensive implementation plan provides detailed guidance for establishing and operating the Porch Light Foundation hybrid model. Regular updates should be made to reflect changing regulations, market conditions, and operational experience.